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First Year – Common Core 2025/2026
Subject: English 2

Unit 13: The Banking Industry

UNIT FOCUS:

Reading: The Banking Industry.

Vocabulary: Definitions, Pairs.

Grammar: Perfect Tenses: Expressing Time Relationships

Reading

Read the Text. Underline the New Words.

The banking industry

Commercial or retail banks [1] are businesses that trade in money. They receive and hold deposits [2], pay money according to customers' instructions, lend money, offer investment advice, exchange foreign currencies, and so on. They make a profit from the difference (known as a spread [3] or a margin) between the interest rates they pay to lenders or depositors and those they charge to borrowers. Banks also create credit, because the money they lend, from their deposits, is generally spent (either on goods or services, or to settle debts), and in this way transferred to another bank account - often by way of a bank transfer or a cheque (check) rather than the use of notes or coins - from where it can be lent to another borrower, and so on. When lending money, bankers have to find a balance between yield [4] and risk, and between liquidity [5] and different maturities.

Investment banks [6], often called merchant banks in Britain, raise funds for industry on the various financial markets, finance international trade, issue and underwrite [7] securities, deal with takeovers and mergers, and issue government bonds. They also generally offer stockbroking and portfolio management services to rich corporate and individual clients. Investment banks make their profits from the fees and commissions they charge for their services.

In some European countries (notably Germany and Switzerland) there have always been universal banks [8] combining deposit and loan banking with share and bond dealing and investment services, but for much of the 20th century, American legislation enforced a strict separation between commercial and investment banks. The Glass Steagall Act, passed during the Depression in 1934, prevented commercial banks from underwriting securities. This act was repealed in 1999. The Japanese equivalent was abolished the previous year, and the banking

industry in Britain was also deregulated [9] in the 1990s, and financial conglomerates now combine the services previously offered banks, stockbrokers, and insurance companies.

A country's minimum interest rate is usually fixed by the central bank. This is the discount rate [10], at which the central bank makes secured loans to commercial banks. Banks lend to blue chip borrowers (very safe large companies) at the base rate or the prime rate; all other borrowers pay more, depending on their credit standing (or credit rating, or creditworthiness): the lender's estimation of their present and future solvency. Borrowers can usually get a lower interest rate if the loan is secured or guaranteed by some kind of asset, known as collateral [11].

In most financial centers, there are also branches of lots of foreign banks, largely doing Eurocurrency [12] business. A Eurocurrency is any currency held outside its country of origin. The first significant Eurocurrency market was for US dollars in Europe, but the name is now used for foreign currencies held anywhere in the world (e.g. yen in the US, euros in Japan). Since the US$ is the world's most important trading currency — and because the US for many years had a huge trade deficit — there is a market of many billions of Eurodollars, including the oil-exporting countries' "petrodollars". Although a central bank can determine the minimum lending rate for its national currency it has no control over foreign currencies. Furthermore, banks are not obliged to deposit any of their Eurocurrency assets at 0% interest with the central bank, which means that they can usually offer better rates to borrowers and depositors than in the home country.

Glossary

	Word	Definition
1	**Commercial banks**	Businesses that trade in money, receive deposits, and lend to customers.
2	**Deposits**	Sums of money placed or kept in a bank account.
3	**Spread**	The difference between the interest rate a bank pays to depositors and the rate it charges borrowers.
4	**Yield**	The income returned on an investment, such as the interest received from lending money.
5	**Liquidity**	The availability of liquid assets (cash) to a market or company.
6	**Investment banks**	Banks that raise funds for industries, issue securities, and manage corporate mergers.
7	**Underwrite**	To accept financial risk for a fee, such as guaranteeing the sale of a new issue of securities.
8	**Universal banks**	Institutions that offer both commercial banking and investment banking services.
9	**Deregulated**	The reduction or elimination of government power in a particular industry.
10	**Discount rate**	The minimum interest rate set by the central bank for lending to other banks.
11	**Collateral**	An asset that a lender accepts as security for a loan.
12	**Eurocurrency**	Any currency deposited in a bank outside its country of origin.

Digest what you read

A. Based on the information given in the text, select True, False, or Not Given.

.....1- Commercial banks make their profit exclusively from charging fees and commissions.
.....2- Money lent by banks is generally spent and transferred to other accounts, creating credit.
.....3- The Glass Steagall Act of 1934 encouraged the merging of commercial and investment banks.
.....4- Most commercial bank managers receive high annual bonuses.

.....5- A central bank has complete control over the interest rates of foreign currencies.

B. Select the best answer for the items below. Refer to the text to check your answers.

1. How do investment banks primarily make their profits?

A. By taking retail deposits.
B. From the spread between lending and borrowing rates.
C. From fees and commissions charged for their services.
D. By creating Eurocurrency.

2. What is a "universal bank"?

A. A bank that only operates in Europe.
B. A bank combining deposit/loan services with investment and bond dealing.
C. A bank that issues government bonds exclusively.
D. A bank that only lends to blue-chip borrowers.

3. What does "collateral" refer to in the text?

A. The minimum interest rate fixed by a central bank.
B. The estimation of a borrower's future solvency.
C. An asset used to secure or guarantee a loan.
D. A type of foreign currency.

4. Why is there a market of many billions of Eurodollars?

A. Because the US dollar is the most important trading currency and the US had a trade deficit.
B. Because European banks prefer US dollars over Euros.
C. Because central banks demand 0% interest on them.
D. Because the Glass Steagall Act was repealed.

Vocabulary Loading

A. Using the words given in Box 1, find definitions from Box 2.

Box 1

1. Margin

2. Conglomerate
3. Solvency
4. Deregulate

Box 2

A) To remove regulations or restrictions from an industry.
B) The ability of a company to meet its long-term financial obligations.
C) Another term for the "spread" or difference in interest rates.
D) A large corporation made up of several different, independent businesses.

B. Find matching pairs. Translate them into Arabic.

Part 1	Part 2	Pairs	Translation
Interest	deficit	.....	.....
Central	bank	.....	.....
Investment	rate	.....	.....
Trade	advice	.....	.....

C. Fill in the blanks using the proper words from the previous section. ***(Word bank: collateral, deposits, discount rate, liquidity)***

1. Customers place their savings into bank ..... for safekeeping.
2. The central bank recently lowered the ..... to encourage lending.
3. If you want to secure a large loan, you will need to provide a valuable asset as ..... .
4. During a financial crisis, banks often struggle to maintain sufficient ..... .

E. Enhancing Your Vocabulary

Match the words on the left with their synonyms on the right.

1. Repeal | a) Guarantee
2. Solvency | b) Abolish/Cancel
3. Secure | c) Combination/Merger
4. Takeover | d) Financial stability

Grammar Handling

Perfect Tenses: Expressing Time Relationships

The perfect tenses are used to show a connection in time between two events or actions. They are formed using the auxiliary verb 'to have' and the past participle of the main verb.

1. Present Perfect

- **Form:** has/have + past participle
- **Use:** To describe an action that happened at an unspecified time in the past, or started in the past and continues to the present.
- **Examples:** The banking industry **has changed** significantly since the 1990s.

2. Past Perfect

- **Form:** had + past participle
- **Use:** To describe an action that was completed before another action or time in the past.
- **Examples:** The US **had repealed** the Glass Steagall Act before the financial crisis began.

3. Future Perfect

- **Form:** will have + past participle
- **Use:** To describe an action that will be completed before a specific point in the future.
- **Examples:** By next year, the bank **will have expanded** its Eurocurrency operations.

Practice: Complete the following sentences using the correct form of the verb in brackets (Present Perfect, Past Perfect, or Future Perfect).

1. The commercial bank ..... (approve) the loan before the company declared bankruptcy.
2. The central bank ..... (not increase) the discount rate yet this year.
3. By 2030, digital currencies ..... (transform) the traditional banking sector completely.
4. They ..... (already deposit) the funds when the manager asked for the transfer receipt.

Translate the text into Arabic.

"Commercial or retail banks are businesses that trade in money. They receive and hold deposits, pay money according to customers' instructions, lend money, offer investment advice, exchange foreign currencies, and so on. They make a profit from the difference between the interest rates they pay to lenders and those they charge to borrowers."

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Self-check: Check your progress in this unit.

Tick (✓) the statements which are true about you.

- I can define different types of banks (commercial, investment, universal).
- I understand the concept of "spread" and "credit creation".
- I have learned key financial vocabulary like "collateral" and "liquidity".
- I can accurately use Present, Past, and Future Perfect tenses.
- This unit helped me understand banking operations better.